



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Robert L. Vestal, Public Works Director | City Engineer
BY: Vincent Lopez, Project Manager
DATE: July 21, 2026
SUBJECT: Public Works Agreement for the Construction of the FY26 Annual Citywide Street Rehabilitation and Maintenance – Capital Improvement Project No. R26-01

Description: Award a Public Works Agreement to Matich Corporation (Contractor) in the amount of \$3,428,547 for the construction of the FY 25/26 Annual Citywide Street Rehabilitation and Maintenance (Project)

Motion:

If the City Council determines that staff's recommendation is appropriate, the following motion is provided: I move to approve a Public Works Agreement with Matich Corporation in the amount of \$3,428,547.50, and approve a ten percent (10%) contingency of \$342,855 for a total amount not to exceed \$3,771,402.50 and Authorize the City Manager to sign off on any proceeding contract change orders within the authorized contingency.

Recommendation:

Staff recommends awarding a Public Works Agreement to Matich Corporation for construction of the FY 25/26 Citywide Street Improvements Project and approving a contingency amount to accommodate any necessary change orders. Matich Corporation submitted the lowest responsive bid, including the additive bid items, and no bid protests were received. Approval will allow the City to move forward with scheduled paving and rehabilitation work such as slurry sealing, asphalt overlay, roadway repairs, curb ramp improvements, and updated striping. Upon approval this will authorize issuance of a purchase order, start of preconstruction activities and a Notice to Proceed.

Discussion:

On June 3, 2025, the City Council approved the street selection for the FY25/26 Citywide Street Rehabilitation and Maintenance Project and authorized the Public Works Director to finalize the bid package and solicit bids.

The construction plans are attached to this staff report for reference in Attachment B. The scope of work includes, but is not limited to, applying Type II slurry seal, cold milling, asphalt concrete overlay, removal and replacement of deteriorated pavement patches, curb ramps, traffic control, traffic striping, pavement markings, etc.

On June 3, 2026, the City published the Invitation for Bids (IFB) in the City's Planet Bids portal and Press Enterprise (local newspaper). On July 7, 2026, the City received three (3) bids from general contractors interested in performing the street paving and rehabilitation scope of work:

- Matich Corporation
- All American Asphalt
- R.J. Noble Company

Upon review of these bid submittals, the lowest responsive bidder is Matich Corporation, with a Base Bid amount of \$2,794,698. Only the base bid was considered in evaluating the bids for the apparent lowest bidder. No bid protests were received. In addition to the base bid, the project bid package included four additional Additive Bid Items, separating Highland Springs Avenue by jurisdictional right-of-way:

- Additive Bid A: Highland Springs Avenue (City of Beaumont)
- Additive Bid B: Highland Springs Avenue (City of Banning)
- Additive Bid C: Highland Springs Avenue (Caltrans)
- Additive Bid D: Highland Springs Avenue (UPRR)

The cost for these four Additives totals \$633,849.50, for a total construction amount of \$3,428,547.50. The Bid Tabulation is attached to this staff report for reference in Attachment A.

City staff anticipates scheduling a preconstruction meeting with Matich Corporation within ten days of contract execution and issuing a Notice to Proceed (NTP). Subsequently, Matich Corporation will have ten days to commence construction after the NTP is issued.

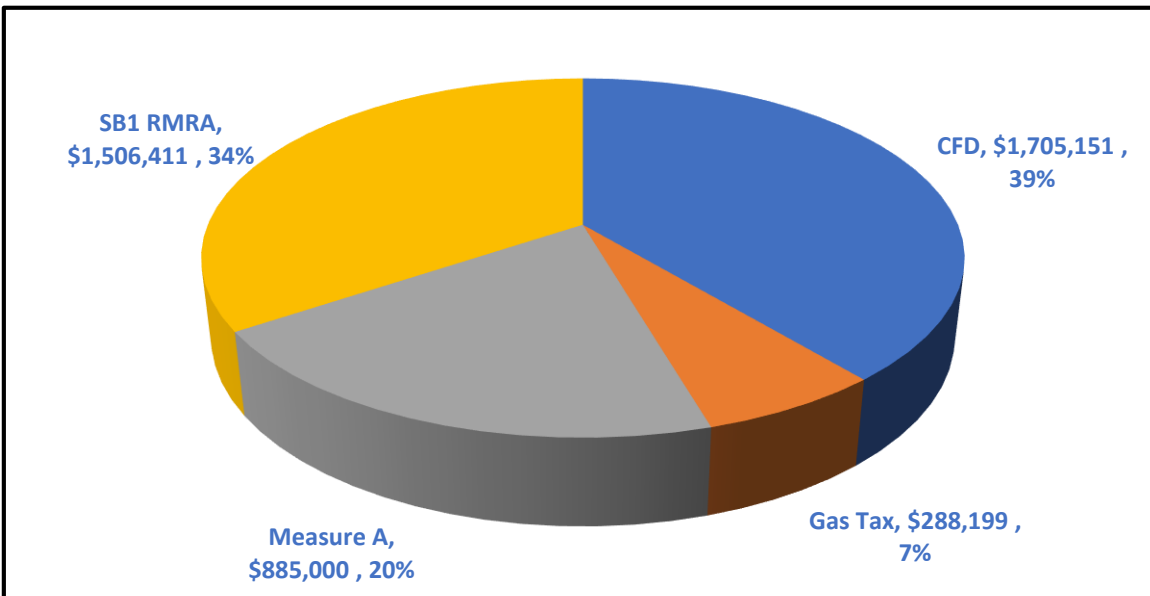
Fiscal Impact:

The cost to prepare this staff report is estimated to be \$350. Funding for this Project is provided by CIP R26-01 Annual Citywide Street Rehabilitation and Maintenance. The following is a summary of the funding and budget for CIP R26-01 Annual Citywide Street Rehabilitation and Maintenance (Project):

CIP R26-01 Citywide Street Rehabilitation and Maintenance FY26 Project Funding Summary

Estimated Total Project Budget= \$4,384,761

Current Project Budget= \$4,384,761



CIP R26-01 Citywide Street Rehabilitation and Maintenance FY26 Project Budget Summary

Project Component	Est. Total Budget	Current Budget	Paid to Date	Remaining Budget
Project Management				
Preliminary Services				
Environmental				
Design				
Permits				
Right-of-Way				
Construction	\$4,384,761	\$4,384,761		\$4,384,761
Construction Management				
Equipment				
Total	\$4,384,761	\$4,384,761	\$-	\$4,384,761

Alternatives:

Not applicable.

Attachments:

- A. Bid Tabulation - FY26 Annual Citywide Street Rehabilitation and Maintenance
- B. Project Plans - FY26 Annual Citywide Street Rehabilitation and Maintenance
- C. Matich Corporation Bid
- D. Public Works Agreement – Matich Corporation
- E. Levine Act Statement